IOL Chemicals and Pharmaceuticals Ltd

Concall tracker, Q2 FY27 (quarter to Sep 2026) | NSE: IOLCP | Filed under Q2-2027

1. Snapshot

IOL is a Punjab company that is one of the world's biggest makers of ibuprofen, the painkiller's raw drug (an API, active pharmaceutical ingredient, the chemical inside the tablet). It also makes other APIs (paracetamol, metformin, fenofibrate and more) and bulk chemicals such as ethyl acetate and acetic anhydride, which it also uses to make its own drugs. It sells to tablet makers in India and abroad.

Number	Value	Plain read
Market cap	about Rs 6,135 cr	About 29 times a year's profit; the stock roughly tripled from its low of the past year.
FY26 sales	Rs 2,319 cr (+12%)	Back to growth after two years of falling sales.
Q2 FY27 sales	Rs 795 cr (+40%)	A big jump, mostly from better prices and plants running full.
Q2 FY27 net profit	Rs 65 cr (+117%)	Profit more than doubled.
Operating margin (EBITDA)	14.4% vs 11.2% a year ago	Better, but far below the 24-30% it earned in FY20-FY22 when ibuprofen was scarce.
Borrowings	about Rs 200 cr, all working capital	Rising with sales and raw material prices; management says this is the peak for the year.
Promoter holding	62.3% (52.6% two years ago)	Promoters' share went up a lot over FY26; the calls don't explain how.

2. Concall coverage

Quarter	Call date	Transcript read?
Q2 FY25 to Q3 FY26	Nov 2024 to Feb 2026 (6 calls)	Skimmed for guidance, targets, margins
Q4 FY26	May 2026	Skimmed
Q1 FY27	Aug 2026	Skimmed
Business update call	11 Sep 2026	Read for the three new projects
Q2 FY27	2 Nov 2026	Read in full

Ten calls over about two years. Earlier calls back to 2023 exist on Screener but weren't needed for the trigger.

Latest concall highlights: Q2 FY27 (2 Nov 2026)

- Sales Rs 795 cr, up about 40%; profit Rs 65 cr, up 117%. Plain read: its best quarter in years.
- Guidance raised: FY27 sales growth now "25% plus" with a 14-15% margin, up from the 15-20% growth it guided at the start of the year.
- Non-ibuprofen drugs grew about 70% and are now 45% of pharma sales (38% a year ago). Plain read: less hostage to one product's price.
- Three new projects worth about Rs 500 cr, paid from its own cash: a tablet-making (CDMO, contract manufacturing for other drug firms) plant and a speciality chemical plant run for a global chemical company, both starting in FY27; ibuprofen capacity up from 12,000 to 18,000 tonnes a year, starting in Q3 or Q4 FY28.

- Ibuprofen prices are steady and management expects them to stay flat for the next two or three quarters; no further price gain is coming.

Business mix & capacity. Exports about 28% of sales in H1 FY27, domestic about 72%. Plain read: mostly an India business, with Europe the main export push. Capacity: ibuprofen and the main chemicals run at 90-100%, so growth from here needs the new plants. Older expanded API lines were at about 55% in Aug 2026, aiming for about 70% by year end.

3. Earning trigger thesis

IOL's earnings now ride on three things: ibuprofen prices staying firm while its plants run full, a fast-growing set of other drugs (paracetamol, metformin, fenofibrate) that cuts its dependence on ibuprofen, and new plants that move it from selling raw drug to making tablets and running a contract chemical plant. The first is a price it doesn't set. The other two are real but mostly ahead of it.

Trigger	What management said	Evidence so far	Time horizon	Strength
Non-ibuprofen APIs	Aim for pharma to be half ibuprofen, half other drugs	45% of pharma sales, up 70% this quarter; 22 European approvals (CEPs)	Now	Strong: it's in the numbers
CDMO tablet plant	Rs 110 cr plant, European GMP approval received, target about Rs 125 cr sales a year	Two or three customers in development; European customer approval takes about a year	FY27 start, real sales FY28	Unproven
Speciality chemical tolling plant	Long-term deal with a leading global chemical company	Due to start in FY27	FY27 to FY28	Unproven
Ibuprofen expansion	12,000 to 18,000 tonnes a year, backward integrated, about Rs 350 cr	Equipment ordered	Late FY28, full use FY29	Moderate: rival capacity is also coming

3b. Trigger check

Trigger type	Yes/ No	What was said (date)
Debt cut	No	Working-capital debt rose; "we are not going to take any borrowing in the coming years" (Nov 2026), but no cut.
New business	Yes	CDMO tablet plant and a speciality chemical tolling plant for a global chemical company, both starting FY27 (Sep and Nov 2026).
Margin up	Yes	EBITDA margin up to 14.4% from 11.2%, from "product mix, operational efficiencies, better capacity utilization" (Nov 2026).
New management	No	None.
New capacity	Yes	Ibuprofen to 18,000 tonnes a year, commissioning in Q3 or Q4 FY28 (Nov 2026).
Big orders	No	Order book of four to six quarters for ibuprofen, paracetamol and metformin, but no book size given.
Turnaround	No	Recovery after two weak years, but management doesn't frame it as one.

Promoter buying	No	Not discussed on the calls.

The single concrete driver: other APIs growing fast enough to be nearly half of pharma sales, with a new tablet-making plant and a contract chemical plant starting this year.

3c. Margin bridge

Operating margin rose to about 14.4% from 11.2% a year ago. Management credits better product mix (more non-ibuprofen drugs), plants running full, cheaper buying and better chemical prices; the chemicals arm went from barely profitable to a real contributor. Prices drove much of it, and management says prices will now stay flat, while freight and power costs rose this quarter. It guides 14-15% for the year. (lasting)

4. Management consistency scorecard

Period	What was promised	What actually happened	Verdict
Nov 2024	Half of non-ibuprofen sales from exports within two to three years (then 23-24%)	Company exports at about 28% of total sales; non-ibuprofen export split not updated	Too-early
May 2025	Paracetamol and other drugs to pick up	FY25 paracetamol demand was below plan; non-ibuprofen then grew 70% by Q2 FY27	Partly
Nov 2025	EBITDA margin of about 13-14%	15.2% in Q4 FY26, 14.4-14.7% in H1 FY27	Delivered
Start of FY27	Sales growth of 15-20%	H1 up 39%; guidance raised to 25%+	Delivered
Sep 2026	CDMO and tolling plants to start in FY27	CDMO plant got its GMP approval; tolling plant pending	Too-early

Narrative drift: the story has been steady for two years: cut reliance on ibuprofen, push exports to Europe, and integrate forward. The Sep 2026 projects are a sensible next step, not a pivot. Management is careful on prices and doesn't over-promise, and recent guidance has been beaten. The open question is how much of this year's jump is prices it doesn't control.

5. Bottom line

Durable earning trigger? YES

The non-ibuprofen drugs are a real, growing driver already in the results, and the new plants add a second leg from FY28. But ibuprofen is still the biggest product and its price is set by the market; this year's margin jump owes a lot to it, and the new tablet and chemical plants haven't earned anything yet.

Management consistent? YES

Margin and growth targets set in the last year were met or beaten, and the strategy hasn't wandered. The one slip was paracetamol demand in FY25, which has since recovered.

6. Checkpoints for next quarter

- CDMO tablet plant starts commercial supply to a customer
- Speciality chemical tolling plant begins operations
- Margin holds in the guided 14-15% range in Q3

Not investment advice. Do your own due diligence. Sources: IOL concall transcripts (Screener.in / NSE / BSE), Screener financials.